

SECTION 1

Overview

Converting Six Peak Capital LP to a C-Corporation enables QSBS (Qualified Small Business Stock) treatment under IRC Section 1202, allowing up to 100% federal capital-gains exclusion on qualifying stock held five or more years. Post-OBDDA updates expand the benefit significantly.

SECTION 2

Post-OBDDA QSBS Framework

Provision	Value
Per-shareholder exclusion cap	\$15M (up from \$10M)
Gross-asset limit	\$75M (up from \$50M)
Holding period for 100% exclusion	5 years
Tiered exclusion	50% at 3yr, 75% at 4yr, 100% at 5yr
Entity-level test	C-Corp with active trade or business
State conformity (NJ)	Yes (from 2026)
State conformity (CA)	No — 13.3% state rate remains

SECTION 3

Conversion Mechanics

Check-the-box election

Six Peak Capital LP files IRS Form 8832 electing corporate treatment. LLC members exchange membership interests for C-Corp stock at the conversion date; assets transfer at adjusted (carryover) basis.

10x basis advantage

Because the LP has accumulated operating history, members' existing basis carries over to the new C-Corp stock, creating a 10x basis advantage versus a fresh entity: the exclusion cap is 10x the greater of a \$10M baseline or the adjusted basis at conversion.

Gross-asset test caution: the \$75M test applies at the time of stock issuance. Given the contracted pipeline and its working capital, confirm issuance timing and entity structuring with tax counsel before relying on the exclusion.

SECTION 4

Timing with Mission Control

The conversion should be completed before the Mission Control capital event.

- New investors receive QSBS-qualified stock from day one
- Existing owners lock in the carryover-basis advantage
- The five-year QSBS holding clock starts as early as possible
- Mission Control-driven value creation grows inside the QSBS shelter

If conversion happens after the capital event, new investors miss the 10x basis advantage and their exclusion is capped at \$15M. Timing matters.

SECTION 5

Exit Scenarios — Tax Impact

Scenario	Enterprise Value	Taxes (Fed+CA)	QSBS Savings
Modest exit (FY2030)	\$60M	~\$7.5M	~\$15M vs. no QSBS
Base exit (FY2032)	\$120M	~\$22.0M	~\$23M vs. no QSBS
Bull exit (FY2033)	\$180M	~\$42.0M	~\$23M vs. no QSBS

Savings from QSBS treatment range from approximately **\$15M to \$42M** depending on exit timing, size, and the number of qualifying shareholders. The carryover basis and multi-shareholder multiplier are key drivers — do not conduct the conversion as a single-shareholder event.

Note: Enterprise-value scenarios above are illustrative exit cases. They imply valuation multiples well above a 5x cumulative-NI reference on the updated pro forma; treat the EV figures as upside sale scenarios, not base-case expectations, and confirm with counsel and a banker.

SECTION 6

Action Items

- Retain qualified M&A / tax counsel to oversee conversion timing
- File Form 8832 election and update operating agreements
- Issue QSBS-qualified stock to all existing owners on the conversion date
- Document gross-asset valuation at issuance (key for the \$75M test)
- Begin the five-year QSBS holding clock; avoid sales before the 5-year mark without exclusion reduction